

Eternal Ltd.

HOLD

Sector: Internet & Catalogue Retail

Target: Rs. 337	CMP: Rs. 306	Return: 10.1%	Time Frame: 12 Months
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Company Data	
Market Cap (Rs.cr)	295735
52W High-Low	314
Enterprise Value (Rs.cr)	294166
Outstanding Shares (cr)	965.0
Free Float (%)	71.9
Beta	1.0

Shareholding (%)			
Category	Q-2	Q-1	Latest
Promoters	0.0	0.0	0.0
FIIs	47.3	44.4	42.3
MFs/Institutions	20.5	23.6	26.6
Public	8.0	8.5	7.6

Overview

Eternal Limited, formerly Zomato Limited, operates an online food delivery platform under the Zomato brand, alongside Blinkit (quick commerce) and Hyperpure (B2B supplies).

Highlights

- Consolidated revenue surged 70.4% YoY in Q1FY26 to Rs. 7,167cr.
- Quick commerce revenue soared 154.8% YoY to Rs. 2,400cr.
- EBITDA fell 35.0% YoY to Rs. 115cr due to higher operating expenses.
- Blinkit added 243 new stores, taking the total to 1,544.

Outlook & Valuation

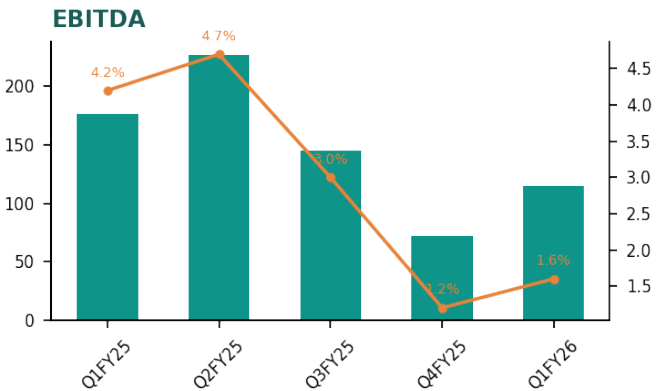
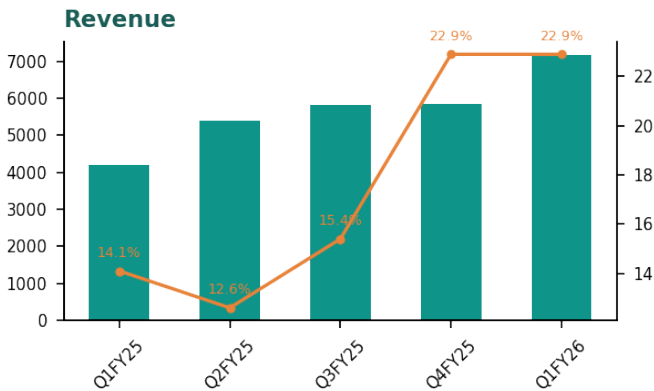
Eternal is positioned for long-term growth driven by its quick commerce business, though rich valuations limit near-term upside. Rating downgraded to HOLD with a revised target of Rs. 337, based on 6x FY27 price/sales.

Estimates

Rs. Cr	FY25A	FY26E	FY27E
Sales	20243	35020	54632
EBITDA	637	1248	3575
PAT Adjusted	527	927	2643
Adjusted EPS	0.6	1.0	2.7

Key Highlights & Charts

- Food delivery NOV growth eased to 13% YoY in Q1FY26 from 14% in the prior quarter.
- Food delivery margins declined QoQ due to seasonal factors (festivals, weather).
- Blinkit NOV grew 127% YoY, driven by a 123% rise in average monthly transacting customers.
- Company transitioning quick commerce from marketplace to inventory ownership over 2-3 quarters.



Consolidated Financials

Profit And Loss

Rs. Cr	FY24A	FY25A	FY26E
Sales	12114	20243	35020
EBITDA	42	637	1248
Reported PAT	351	527	927

Rating Criteria & Disclaimer

Investment Rating Criteria

Rating	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0%-10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/Sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Disclaimer

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Investment in securities markets is subject to market risk. Please read all related documents carefully before investing. This report should not be treated as a substitute for professional financial advice.

Ratings are based on a 12-month horizon and reflect the return implied by the stated target price relative to the current market price at the time of generation.

Data Verification Summary

3 fields verified against source document	1 fields flagged / not found (shown as N/A)
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Fields not found or not verifiable in the source document: company_data.dividend_yield_pct